BARRIERS TO BUSINESS HOUSEHOLD FORMALIZATION IN VIETNAM: A POLICY ANALYSIS IN THE CONTEXT OF RESOLUTION 68-NQ/TW

Phạm Thị Như Ngọc [1], Nguyễn Gia Hân [2],

Trương Đỗ Thành Long [3], Lưu Thuỳ Linh [4], Vũ Ngọc Trâm [5*]

[1] Macquarie Business School (MQBS), Macquarie University, Sydney, Australia
[2] Macquarie Business School (MQBS), Macquarie University, Sydney, Australia
[3] Macquarie Business School (MQBS), Macquarie University, Sydney, Australia
[4] Macquarie Business School (MQBS), Macquarie University, Sydney, Australia
[5] Macquarie Business School (MQBS), Macquarie University, Sydney, Australia

***Corresponding Author: (Phone: + 61 494 410 847; Email: ngocnhu26012006@gmail.com)**

Abstracts

Vietnam's 5.2 million business households (hộ kinh doanh, HKDs) contribute approximately 50% of GDP, yet convert to registered enterprises at critically low rates despite decades of government encouragement. This paper addresses the question: What are the primary structural barriers preventing HKD formalization in Vietnam, and how should policy respond to the transformative context of Resolution 68-NQ/TW and the lump-sum tax abolition scheduled for January 2026? Drawing on Cost-Benefit Theory and Institutional Theory as complementary analytical frameworks-the former explaining individual formalization decisions, the latter explaining why formal rule changes alone fail to shift behavior-this paper identifies four structural barrier categories through qualitative policy analysis of government documents, legislative texts, and published research (2023–2025): (B1) tax and accounting complexity, (B2) financial transparency pressure, (B3) regulatory visibility and inspection fear, and (B4) capacity and knowledge gaps. A central empirical finding is that the average HKD pays only 2.7 million VND annually under the lump-sum system, while post-conversion compliance costs reach 180-200 million VND per year - a 70-old increase that constitutes a rational deterrent to formalization, not mere inertia. The paper argues that Resolution 68-NQ/TW's lump-sum tax abolition creates an unprecedented policy window but risks generating compliance anxiety rather than enterprise conversion unless complemented by targeted structural measures. Six evidence-grounded policy recommendations are proposed, calibrated to the specific reform context: a one-stop conversion pathway, phased tax transition, targeted capacity-building, digital infrastructure provision, peer-based communication campaigns, and segmented policy design. These contributions extend the SME formalization literature in transitional economies and offer actionable guidance for Vietnam's 2030 target of two million enterprises.

Keywords

business household formalization; institutional theory; lump-sum tax reform; Resolution 68-NQ/TW; SME policy Vietnam; transitional economy

1. Introduction

Vietnam confronts a structural paradox at the heart of its private sector development strategy. The country hosts 5.2 million registered business households: small, individually-owned operations dominating retail, food service, and light manufacturing that collectively contribute approximately 50% of GDP, over 30% of total state budget revenue, and 82% of total employment (Politburo, 2025). Yet alongside this vast informal-adjacent sector stands a registered enterprise base of only 940,000 firms. The gap between these two numbers is not a natural feature of Vietnam's economic landscape; it is a policy problem, one that successive governments have attempted to close for over two decades without success.

Resolution 68-NQ/TW, issued May 4, 2025, signals a qualitative shift in ambition. The Politburo's resolution sets a target of two million enterprises by 2030 and announces the abolition of the lump-sum tax system for HKDs from January 2026, the most consequential formalization policy reform since the Enterprise Law 1999 (Politburo, 2025). Yet the resolution's target is mathematically dependent on converting a substantial fraction of Vietnam's HKD population, and there is little historical evidence that legislative ambition translates automatically into behavioral change. Resolution 58/NQ-CP (2023) targeted 8,000-10,000 HKD conversions by 2025; most localities fell far short (CIEM, 2021; MPI, 2024).

This paper addresses the following research question: What are the primary structural barriers preventing HKD formalization in Vietnam, and how should policy respond to the transformative context of Resolution 68-NQ/TW? The question is significant for three reasons. First, Vietnam's 2030 enterprise target is arithmetically dependent on formalization at a scale not previously achieved. Second, the 2026 lump-sum tax abolition, which compels HKDs to adopt invoice-based accounting regardless of conversion status, creates a time-limited policy window that, if mismanaged, risks generating anxiety rather than enterprise formation. Third, no study has systematically analyzed the structural barrier landscape in the specific context of this reform.

This paper makes three contributions. Analytically, it applies a dual theoretical lens - Cost-Benefit Theory and Institutional Theory - to explain both the individual-level calculus that deters formalization and the institutional inertia that frustrates formal policy. Empirically, it identifies and systematizes four structural barrier categories, anchored in the specific cost differential created by Vietnam's tax regime. In terms of

policy, it proposes six recommendations explicitly calibrated to the 2026 transition context, with identified lead agencies and implementation timelines.

2. Literature review

2.1 Formalization in Developing Economies

The academic literature on informal sector formalization in developing economies is organized around two competing theoretical traditions. The regulatory burden perspective, advanced by De Soto (1989) and elaborated quantitatively by Djankov et al. (2002), argues that informality is primarily a rational response to excessive regulatory and compliance costs. Under this view, simplification of entry and compliance procedures is the principal lever for formalization. The contrasting capability perspective, associated with La Porta and Shleifer (2014), posits that informal operators are structurally too weak to formalize regardless of the regulatory environment, lacking the managerial capacity, financial resources, and market connectivity that enterprise status demands.

Both traditions offer partial explanations for Vietnam's HKD formalization gap. The regulatory burden perspective captures why larger, more viable HKDs, those with resources to formalize - frequently decline to do so: they face a cost calculus that favors informality through tax arbitrage (Tran & La, 2020). The capability perspective explains why smaller, lower-productivity HKDs may be unable to formalize even if incentivized to do so. A comprehensive policy framework must address both mechanisms rather than treating them as mutually exclusive. Rand and Torm (2012) provide empirical support for this position in Vietnamese manufacturing SMEs, demonstrating that formalization generates measurable productivity and access-to-finance benefits, but only for firms above a minimum capability threshold.

2.2 The Vietnamese Policy Context

Vietnam's legislative approach to HKD formalization has evolved through successive but consistently underperforming cycles. The Enterprise Law 1999 first created a legal conversion pathway; the SME Support Law 2017 added specific incentives including fee waivers and preferential tax treatment for newly converted enterprises; Resolution 58/NQ-CP (2023) established a quantitative target of 8,000-10,000 conversions by 2025. None of these initiatives achieved stated targets, with CIEM (2021) documenting persistent underperformance across localities, including those with active local support programs.

Resolution 68-NQ/TW (2025) represents a structurally different intervention because it combines a mandatory change, abolition of the lump-sum tax system from January 2026, with a package of positive incentives. Critically, Decree 70/2025/NĐ-CP, which mandates electronic invoicing for HKDs with annual revenue of one billion VND or above from June 2025, means that many HKDs must restructure their accounting regardless of conversion status (Government of Vietnam, 2025). This shifts the cost-benefit calculation in a way previous incentive-only policies did not: the relative cost of informality is rising, not merely the benefit of formalization.

2.3 Research Gap

Existing Vietnamese policy research addresses either the benefits of formalization (CIEM, 2021; Rand & Torm, 2012) or specific barrier categories in isolation (Economica Vietnam, 2024). No study has systematically analyzed the structural barrier landscape within the specific context of the 2026 lump-sum tax abolition, nor developed policy recommendations calibrated to this transition window. The interaction between mandatory invoice compliance (Decree 70/2025) and voluntary enterprise conversion creates a novel policy environment that existing literature does not address. This paper fills that gap.

3. Data and Methodology

3.1 Theoretical Framework

This paper employs two complementary frameworks operating at different analytical levels. Table 1 summarizes their application.

Framework	Level	Core Prediction	Barrier Type
Cost-Benefit Theory (De Soto, 1989; Djankov et al., 2002)	Micro (Individual firm)	Formalization occurs only when perceived net benefit exceeds perceived net cost; rational actors do not convert if compliance costs outweigh gains.	Tax & accounting complexity; Financial compliance cost

Institutional Theory (North, 1990; Scott, 1995)	Macro (Institutions & norms)	Formal rule changes (e.g., tax abolition) produce limited behavioral change when entrenched informal institutions, habits, norms, cultural expectations, create inertia.	Financial transparency pressure; Regulatory visibility & psychological resistance; Capacity & knowledge gaps
Combined Prediction	Effective policy must simultaneously **alter the objective cost-benefit calculation** and **actively reshape informal institutional expectations.**		

Table 1. Dual Theoretical Framework: Application to HKD Formalization Analysis

At the micro level, Cost-Benefit Theory (De Soto, 1989; Djankov et al., 2002) models HKD owners as rational actors who formalize only when perceived net benefits of enterprise status - credit access, legal protection, expanded market opportunities, exceed perceived net costs, including compliance expenditures, tax increases, and administrative burden. This framework predicts that effective policy must alter specific cost or benefit parameters, not merely communicate the abstract advantages of formalization.

At the macro level, Institutional Theory (North, 1990; Scott, 1995) distinguishes between formal institutions - codified laws and regulations - and informal institutions - norms, habits, and cultural expectations that shape behavior independently of formal rules. The lump-sum tax system, operating for decades, has generated a set of informal institutional expectations among HKD operators: simplicity, low regulatory visibility, and minimal documentation. Institutional Theory predicts that formal rule changes produce limited behavioral change when they conflict with entrenched informal institutions, even when the formal changes are well-designed.

Together, the frameworks generate the central prediction of this paper: Resolution 68-NQ/TW's lump-sum tax abolition will have limited impact on conversion rates unless policy simultaneously reduces the objective cost-benefit gap (Cost-Benefit Theory) and actively reshapes informal institutional expectations through targeted complementary measures (Institutional Theory).

3.2 Methodology

This paper employs a qualitative document-based policy analysis approach. This methodology is appropriate for three reasons: the research question is primarily explanatory rather than predictive; the policy environment has changed rapidly following Resolution 68-NQ/TW (May 2025), rendering pre-existing quantitative datasets partially obsolete; and the paper's purpose is to generate actionable policy recommendations for a specific transition context rather than test statistical hypotheses.

Primary sources include official government documents (Resolution 68-NQ/TW; Enterprise Law 2020; Decree 70/2025/NĐ-CP; Resolution 198/2025/QH15; Resolution 58/NQ-CP 2023), statistical publications from the General Statistics Office and Ministry of Finance (2023-2025), research reports from the Central Institute for Economic Management (CIEM) and the Ministry of Planning and Investment (MPI), and investigative journalism from major Vietnamese outlets (VnExpress, Nhân Dân, Báo Chính phủ). Sources are triangulated across government, academic, and journalistic channels to mitigate single-source bias.

The analytical procedure proceeds in three stages: (1) mapping the current institutional landscape for HKD formalization; (2) identifying and categorizing structural barriers through cross-source triangulation, using the dual theoretical framework as an interpretive lens; and (3) deriving policy recommendations calibrated to the 2026 reform context, with reference to each barrier's theoretical mechanism.

4. Results and discussion

4.1 The Core Paradox: Rational Non-Conversion

The central analytical puzzle is why formalization, offering clear benefits in credit access, legal protection, and market expansion, is consistently rejected by Vietnamese HKD owners. Cost-Benefit Theory provides a precise answer through a specific empirical finding: the gap between current and post-conversion costs is not incremental but transformational.

Research by Economica Vietnam (August 2024) found that the average HKD pays only 2.7 million VND in annual taxes under the lump-sum system. Upon conversion to enterprise status, annual compliance costs rise to 180-200 million VND, a 70-fold increase attributable to the organizational requirements of enterprise status: a legally designated director, a professional accountant, a supervisory board, and dedicated business premises (VnExpress, 2025). For an HKD generating modest profits, this compliance cost increase effectively eliminates the financial case for formalization. From a Cost-Benefit Theory perspective, non-conversion is rational calculation, not irrationality.

This finding has an important policy implication: formalization cannot be achieved by communicating the benefits of enterprise status more persuasively. The cost-benefit calculation must be structurally altered. Table 2 summarizes the four structural barrier categories identified in this paper, their mechanisms, theoretical lenses, and key evidence.

Barrier	Mechanism	Theoretical Lens	Key Evidence	Policy Hook
B1: Tax & Accounting Complexity	Transition from fixed lump-sum to full invoice-based accounting imposes new technical and procedural demands.	Cost-Benefit: compliance cost spike; Institutional: lump-sum as embedded habit.	Decree 70/2025: mandatory e-invoices ≥1 billion VND revenue from June 2025.	Recs. 2, 3, 4
B2: Financial Transparency Pressure	Enterprise status requires verifiable revenue records, exposing informal practices and potentially triggering	Institutional: opacity as normalized behavior; Cost-Benefit: downside risk of regularization.	Qualitative reports of fear of exposure among HKD owners (VnExpress, 2025; CIEM, 2021).	Rec. 1 (amnesty provisions)

	retroactive tax assessments.			
B3: Regulatory Visibility & Inspection Fear	Enterprise registration increases government visibility, perceived as heightening inspection risk despite Resolution 68's stated protections.	Institutional: informality as protective invisibility; information asymmetry about legal protections.	Res. 68: ≤1 inspection/year unless violation is evidenced. Awareness of this protection remains low (MPI, 2024).	Rec. 5 (peer communication)
B4: Capacity & Knowledge Gaps	Enterprise operation requires financial reporting, HR management, and compliance competencies many HKD owners lack after decades of simplified administration.	Cost-Benefit: subjective cost of learning; Institutional: weak managerial norms in micro-enterprise culture.	"20+ years as an HKD made compliance genuinely difficult" (VnExpress, 2025). MOF accounting software rollout pending.	Recs. 3, 4

Table 2. Structural Barriers to HKD Formalization: Mechanisms, Evidence, and Theoretical Lenses

4.2 Barrier 1: Tax and Accounting Complexity

The transition from lump-sum taxation to invoice-based accounting is the most consistently cited barrier across data sources. Under the lump-sum system, HKD operators submit minimal documentation and pay a fixed annual amount negotiated with local tax authorities. Post-conversion, they must maintain full accounting records under the Vietnamese Accounting Standards, issue

electronic invoices for all transactions, file periodic VAT and corporate income tax returns, and manage payroll and social insurance obligations.

From an Institutional Theory perspective, the lump-sum system has become an informal institution: a habit and expectation deeply embedded in HKD practice after two decades of operation. The mandatory digitization under Decree 70/2025/NĐ-CP, requiring electronic invoices for HKDs with annual revenue of one billion VND or above from June 2025 - creates a paradoxical situation. By compulsory action, the decree partially dismantles the informal institution of opacity; but it may also increase compliance anxiety without providing the benefits of enterprise status, potentially dampening conversion intentions rather than stimulating them.

4.3 Barrier 2: Financial Transparency Pressure

Enterprise status requires comprehensive financial transparency: documented supply chains, verifiable accounts payable and receivable, and auditable revenue records. For HKDs that have operated with informal revenue practices, including unreported income streams normalized under the lump-sum regime - this transparency requirement creates both practical and legal concerns.

Institutionally, financial opacity has become a normalized behavioral expectation within the HKD sector. Many operators fear that conversion will expose historical tax irregularities and trigger retroactive assessments, effectively converting the act of formalization into a tax audit. This fear, whether legally well-founded or not, constitutes a significant deterrent that procedural simplification cannot address without accompanying regularization or amnesty provisions. The absence of a formal amnesty mechanism in Resolution 68-NQ/TW represents a notable gap in the current policy architecture.

4.4 Barrier 3: Regulatory Visibility and Inspection Fear

Registered enterprises are subject to structured government inspection regimes that HKDs are largely exempt from. While Resolution 68-NQ/TW explicitly commits to limiting inspections to once per enterprise per year, except where violations are clearly evidenced (Politburo, 2025), awareness of this protection among HKD owners is minimal - as documented by MPI (2024). The formal protection exists but the informal institutional expectation, that enterprise status exposes operators to unwanted state scrutiny - persists.

The psychological dimension of this barrier is significant and analytically distinct from the financial barriers above. Institutional Theory identifies this as an informal norm: the cultural expectation that invisibility provides protection,

embedded through years of operating below the threshold of formal regulatory attention. This informal norm will not change through legislative declaration; it requires active reshaping through peer narratives and visible evidence of positive regulatory experiences among converted enterprises.

4.5 Barrier 4: Capacity and Knowledge Gaps

Enterprise status demands management competencies - in financial reporting, human resources, regulatory compliance, and strategic planning, that many HKD operators have not developed over their operational lifetimes. As documented in qualitative research, operators who have run successful HKDs for 20 or more years describe the managerial and procedural requirements of enterprise status as genuinely beyond their current capabilities (VnExpress, 2025).

The capacity gap is particularly acute in accounting. Enterprise compliance requires either a hired professional accountant - adding 50-100 million VND or more to annual fixed costs, or software-assisted self-management requiring digital literacy that many small operators lack. The Ministry of Finance's commitment under Resolution 68-NQ/TW to provide free accounting software addresses this barrier in principle, but implementation timing, software usability, and technical support infrastructure remain critical uncertainties that could determine whether the 2026 transition succeeds or fails.

4.6 Discussion: The 2026 Policy Window and Its Risks

Viewed through Institutional Theory, Resolution 68-NQ/TW's lump-sum tax abolition constitutes what North (1990) terms a 'critical juncture', a moment when formal institutional change creates conditions for broader behavioral transformation. HKDs facing mandatory transitions in their tax management will be more receptive to conversion messaging because the relative cost advantage of informality is diminishing. The January 2026 deadline creates urgency and salience that years of incentive-only policies could not generate.

However, Institutional Theory also issues a clear warning: critical junctures create windows of opportunity, not automatic change. The informal institutions that make HKD operation attractive, simplicity, low visibility, minimal compliance burden, will not dissolve in response to a legislative mandate. Without active complementary measures, the abolition of lump-sum taxation risks producing compliance anxiety and economic disruption without generating proportional enterprise formation. The 5.2 million HKDs confronting mandatory accounting changes by January 2026 are as likely to

shrink operations or cease trading as they are to convert without targeted support.

This analysis also has implications for the timing of policy implementation. The gap between Resolution 68-NQ/TW's issuance (May 2025) and the lump-sum tax abolition (January 2026) is approximately seven months. Several of the recommendations proposed below, particularly the one-stop conversion pathway, phased tax transition, and digital infrastructure rollout, require legislative and administrative action within this window to be effective before the behavioral decision point arrives.

5. Conclusion and Implications

This paper returns to its research question: What are the primary structural barriers preventing HKD formalization in Vietnam, and how should policy respond to the transformative context of Resolution 68-NQ/TW? The answer, developed through Cost-Benefit Theory and Institutional Theory, is that non-conversion is not a communication failure, it is a rational response to a structural cost differential of 70-fold, compounded by informal institutional expectations that formal policy changes alone cannot dissolve.

Resolution 68-NQ/TW creates the most significant formalization policy window in decades by making the cost of informality rise, not merely making the benefits of formalization more attractive. But Institutional Theory predicts that this window will close without behavioral change unless complementary measures are implemented with urgency. The six recommendations in Table 3 below are calibrated to address specific barriers, with identified theoretical mechanisms, responsible agencies, and pre-January 2026 timelines.

#	Recommendation	Barrier Addressed	Theoretical Basis	Lead Agency	Implementation Timeline
R1	Streamlined one-stop conversion pathway: district Business Registration Offices process all conversion	B1, B2	CBT: direct cost reduction	Ministry of Planning & Investment / DPI offices	Pre-Jan 2026 (urgent): pilot in 5 provinces by Q3 2025; national rollout by Q4 2025.

	documentation within 5 working days; all first-year fees waived.				
R2	Phased 12-month tax transition: allow newly converted enterprises simplified accounting for the first year before full enterprise compliance applies.	B1	CBT: compliance cost shock reduction	Ministry of Finance / General Taxation Authority	Legislate by Q3 2025; apply to all 2026 conversions.
R3	Targeted accounting capacity-building: partner with universities and vocational colleges for free 3-month practical courses in accounting, HR, and compliance, designed specifically for new enterprises.	B4	IT: builds informal institutional competencies	Ministry of Education & Training / VCCI	Pilot programs by Q1 2026; expand via online modules by Q2 2026.

R4	Digital infrastructure provision: accelerate free MOF accounting software rollout with in-person support at commune/ward level before the January 2026 mandate.	B1, B4	CBT: reduces subjective cost; IT: lowers procedural anxiety	Ministry of Finance / Department of Taxation	Software finalized by Q4 2025; commune-level support deployed Jan 2026.
R5	Evidence-based peer communication: commission and publicize documented case studies of successful HKD-to-enterprise conversions, including measurable growth outcomes.	B3	IT: peer narratives reshape informal norms more effectively than regulatory messaging	Ministry of Planning & Investment / Mass media	First case study series: Q3 2025; sustained campaign through 2026-2027.

R6	Segmented policy design: classify HKDs by revenue and workforce size; apply differentiated incentive and compliance packages, active outreach for revenue >3 billion VND or >10 employees; simplified pathways for smaller operators.	B1-B4	CBT: tailored incentives match individual cost-benefit calculus; avoids one-size-fits-all failure	Ministry of Planning & Investment / Provincial DPIs	Classification framework: Q2 2025; segmented outreach from Q4 2025.

Table 3. Policy Recommendations Matrix: Barriers Addressed, Theoretical Basis, Agencies, and Timelines

Recommendation 1: Streamlined one-stop conversion pathway. Establish a dedicated conversion service at district-level Business Registration Offices, completing all documentation within five working days and waiving all first-year registration fees. This directly reduces objective conversion costs, altering the cost-benefit calculation in favor of formalization and removing the administrative friction that deters many capable HKDs from initiating conversion.

Recommendation 2: Phased 12-month tax transition. Allow converting HKDs to maintain simplified accounting for twelve months post-conversion before full enterprise requirements apply. Reducing the compliance cost shock in the first year addresses the most quantitatively significant financial barrier, the 70-fold compliance cost increase, and prevents the January 2026 mandate from producing conversions that quickly reverse due to early non-compliance.

Recommendation 3: Targeted accounting capacity-building. Partner with local universities and vocational colleges to deliver free, practical three-month courses

in accounting and enterprise management, designed specifically for newly converted operators. Addressing the capacity gap reduces the subjective cost of conversion and builds the informal institutional competencies that enterprise operation requires over the medium term.

Recommendation 4: Digital infrastructure provision. Accelerate the rollout of free government accounting software announced under Resolution 68-NQ/TW, with mandatory in-person technical support at commune and ward level, ensuring tools are accessible and usable before the January 2026 compliance transition. Digital tools must be deployable without advanced IT literacy; usability testing and field deployment must precede the mandatory deadline.

Recommendation 5: Evidence-based peer communication campaigns. Commission and widely disseminate documented case studies of HKDs that have successfully converted and achieved measurable growth outcomes, improved credit access, expanded customer bases, higher revenues. Institutional Theory predicts that peer narratives reshape informal norms more effectively than regulatory messaging, directly addressing the psychological resistance to regulatory visibility that abstract policy communications cannot overcome.

Recommendation 6: Segmented policy design. Classify HKDs into capability tiers based on revenue, workforce size, and growth trajectory, and design differentiated policy responses. High-capacity HKDs, revenue above 3 billion VND or employing ten or more workers, should be actively targeted through tailored incentives and dedicated support officers. Lower-capacity HKDs should be supported through simplified compliance mechanisms and gradual formalization pathways rather than immediate full enterprise requirements. This segmented approach avoids the one-size-fits-all limitation that has undermined every previous Vietnamese formalization initiative (La Porta & Shleifer, 2014; CIEM, 2021).

Viewed collectively, these recommendations address both levels of the dual theoretical framework: Recommendations 1-2 and 4 target the objective cost-benefit calculation (Cost-Benefit Theory); Recommendations 3 and 5-6 target the informal institutional environment (Institutional Theory). This design reflects the central finding of this paper, that effective formalization policy must operate on both levels simultaneously.

Limitations. This paper relies on secondary data and operates at the national policy level. Barrier weights may differ substantially across regions, sectors, and HKD

size categories. Future research should employ primary data collection, surveys and semi-structured interviews with HKD owners across provinces - to empirically test the relative salience of identified barriers. Longitudinal tracking of conversion rates following the January 2026 lump-sum tax abolition would provide the first rigorous evidence on the behavioral impact of a mandatory formalization trigger in Vietnam's context.

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